

Industrial model decisions and reconciliations

Document ID: SH-IND-DEC-001 | **Version:** 1.0.0

Owner: Sable Harbor Industrial Holdings

Effective date: 2026-09-05 | **Available at:** 2026-09-05T23:59:59-07:00

State: LOCKED_DERIVED_IMPLEMENTATION

Record origin: PUBLIC_SYNTHETIC_COMPANY_ANALYSIS

This record explains selected model assumptions. Fictional corporate choices control company canon; arithmetic, external law and real geography control their own domains. A selected assumption is not independently verified historical evidence. Every derived schedule must reconcile to its operating activity, accounting treatment, ownership and funding source.

Topic	Selected treatment	Consequence
Current mine geography	42.22° N, 108.18° W in Sweetwater County; approximately 6,885 ft; NAD83 / UTM zone 12N	The old Carbon County, 6,420-ft and zone-13 maps remain superseded historical artifacts. New collars and maps use the new frame.
Legal ownership	SH LLC → SH Industrial Holdings Inc. → Pale Sun Inc. → Red Wash Mining LLC; ARU Inc. is an industrial-holdings sibling, owning BS&T Railway Company	The management layer and legal subsidiaries no longer conflict. Formation dates precede their transactions.
Acquisition timing	Red Wash closes July 18, 2025; ARU closes January 7, 2026; ordinary inbound service starts July 7, 2026	No ARU mine revenue in 2025 and no full-year normalized interface revenue in 2026.
Rail network	Forty total route miles across the mainline and two branches	Yard/track assets and loaded-plus-empty traffic are separate measures; a mine spur is not included.
Mine interface demand	205 recurring + 10 project cars; 10 additional conditional buffer slots	Normalized base billing uses 215 cars; unused buffer slots generate no invoice.
Service economics	Price and variable cost build from commodity handling, truck trips, equipment and labor	Earlier revenue/EBITDA targets are comparison points. The derived base is retained when lower.
Service reliability	Tuesday/Friday windows plus separately costed exception dispatches	A strict two-window-only plan cannot promise a 72-hour elapsed SLA for every arrival.
Capital	\$3.25M mine interface + \$5.25M ARU interface = \$8.5M; ARU catch-up \$11M separately	No double counting of the \$15M screen, residual \$6.5M, sustaining capital or acquisition price.
Cash and costs	Conservative integrated scenario adds interface invoices and separately paid origin linehaul; zero displaced external-cost savings claimed	Funding covers the resulting cash deficit. The model does not assume unproved savings.
Mine ARO	Preserve the original \$16M/\$1.04M standalone comparison; integrated opening 2026 liability accrues from July 18, 2025	Accretion is noncash expense; actual modeled reclamation settlements reduce both cash and the liability. A liability-calibrated closure schedule is explicitly not an engineering estimate.

Topic	Selected treatment	Consequence
ARU seller bridge	\$62M EV less \$12.5M net debt = \$49.5M seller economics; \$1.5M preclose distribution and \$48M purchase consideration	The \$3M escrow is inside the \$48M, and \$2M cash remains in the business.
ARU funding	\$13.5M refinanced debt, \$2.5M retained finance leases, \$22.5M new debt and \$39M equity before fees	Acquisition fees, subsequent catch-up/interface capital and operating liquidity receive separate treatment.
Purchase accounting	Identifiable fair values, known reserve-related deferred tax and residual goodwill	Reserves and the tax election cannot be counted twice or mistaken for spendable acquisition financing.
Consolidation	Reciprocal ARU invoice/Red Wash expense and receivable/payable eliminate	External costs, debt, capital consumption and equity funding remain visible.
Publication	Exact artifact availability and explicit forecast/commitment classes	September month-end results cannot enter a September 5 case as completed facts.

Direct uranium custody, a future mine spur, mine-expansion commissioning dates, actual regulatory evidence and independently surveyed access rights remain outside the selected operating authorization. These gates do not prevent the completed ordinary-inbound model or the reconstruction of the approved fictional acquisition case.